



Q3 2019 INVESTOR PRESENTATION



OUR STRATEGY

WHO WE ARE

Our Purpose

Simplifying
your world to
enable your
progress

Our Promise

Go Ahead

Our Values

Inspiring
Simple
Friendly

WHAT DRIVES US



Customer perspective

- Market share
- Shared value
- Brand position

Financial

- Profit before tax
- Efficiency
- Shareholder value

Internal Business processes

- System reliability
- Sustainability
- Control environment



Learning and growth

- Staff productivity
- Staff development
- Culture change

2015-2019 STRATEGY: TRANSFORMATIVE PARTNERSHIPS

HOW WE ACHIEVE IT

Simplified customer
journey

Digital first and fast

Optimize balance
sheet and drive asset
quality

Maximize on regional
businesses

Operational efficiency

Sustainability
agenda

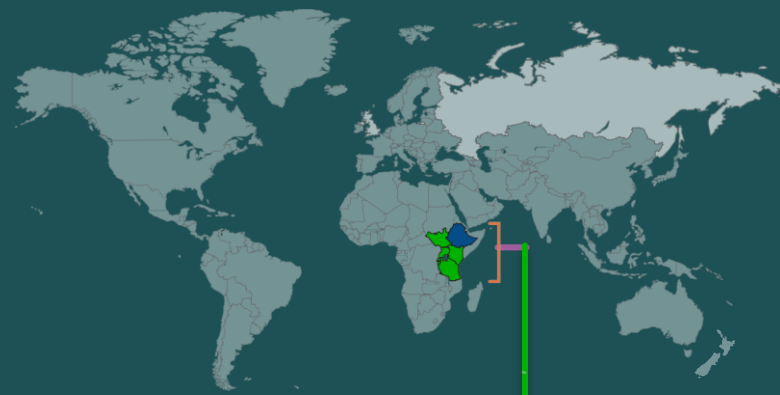
OUR REGIONAL PRESENCE

Banking Businesses:

- KCB Bank Kenya
- KCB Bank Tanzania
- KCB Bank South Sudan
- KCB Bank Rwanda
- KCB Bank Uganda
- KCB Bank Burundi
- Ethiopia Rep. Office

Other Investments:

- KCB Capital Limited
- KCB Insurance Agency
- KCB Foundation
- Kencom House Limited



CUSTOMERS

21.2 MILLION



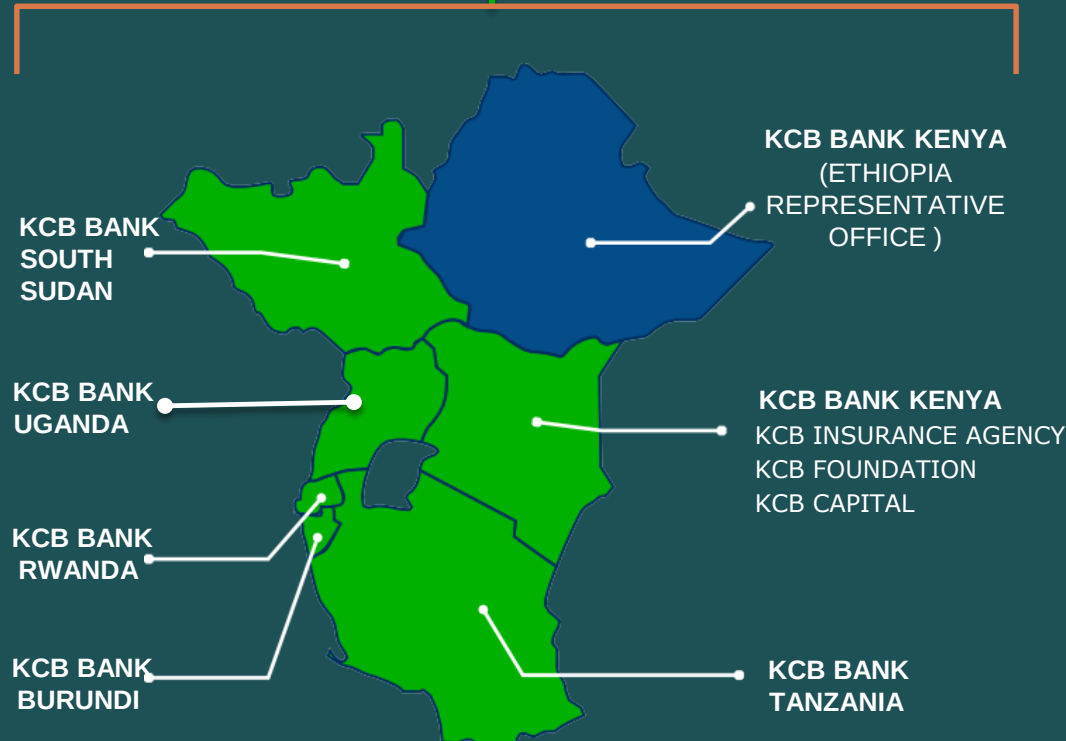
258 BRANCHES

973 ATMS,
20,561 AGENTS & MERCHANTS



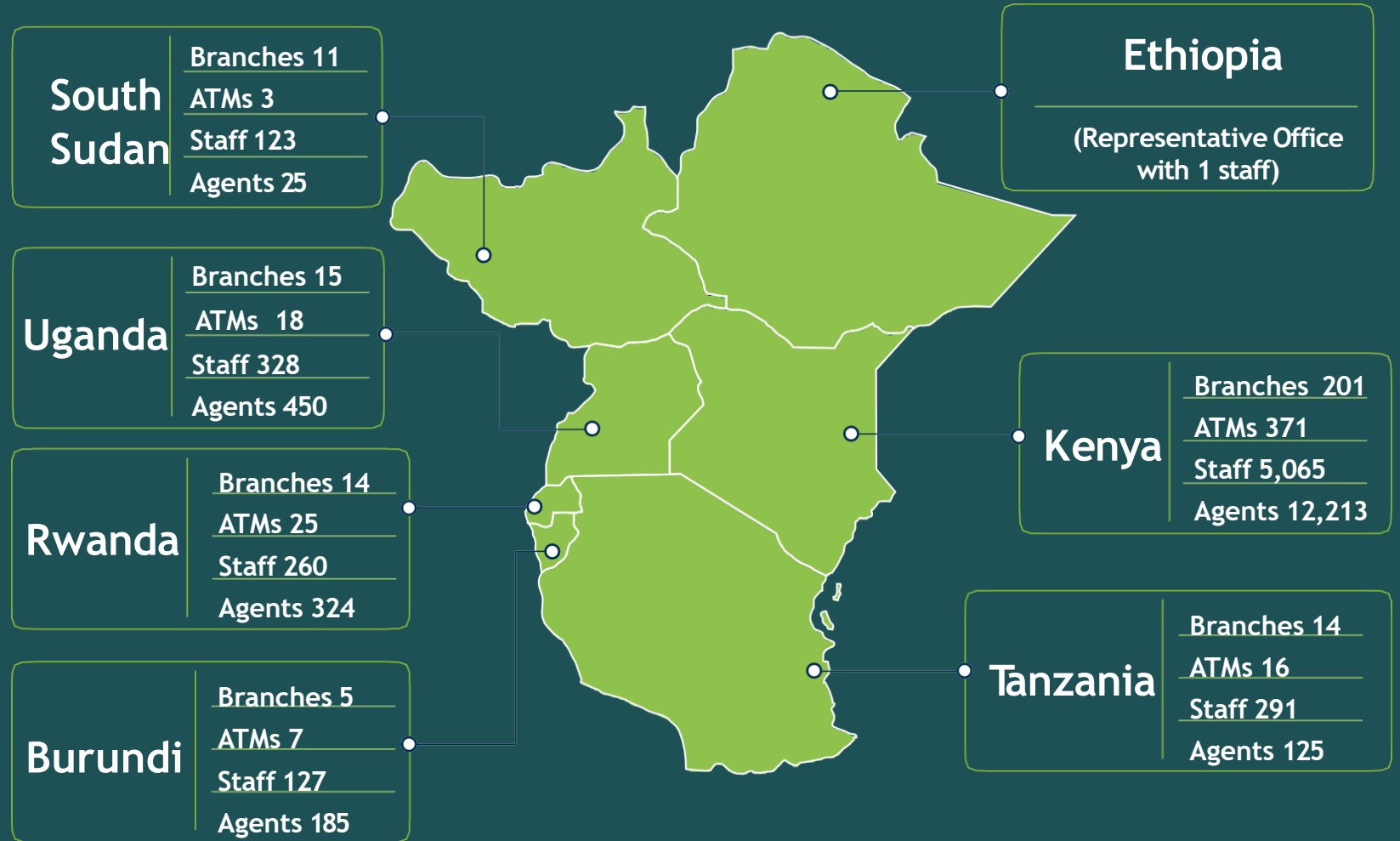
STAFF

6,195 FTE



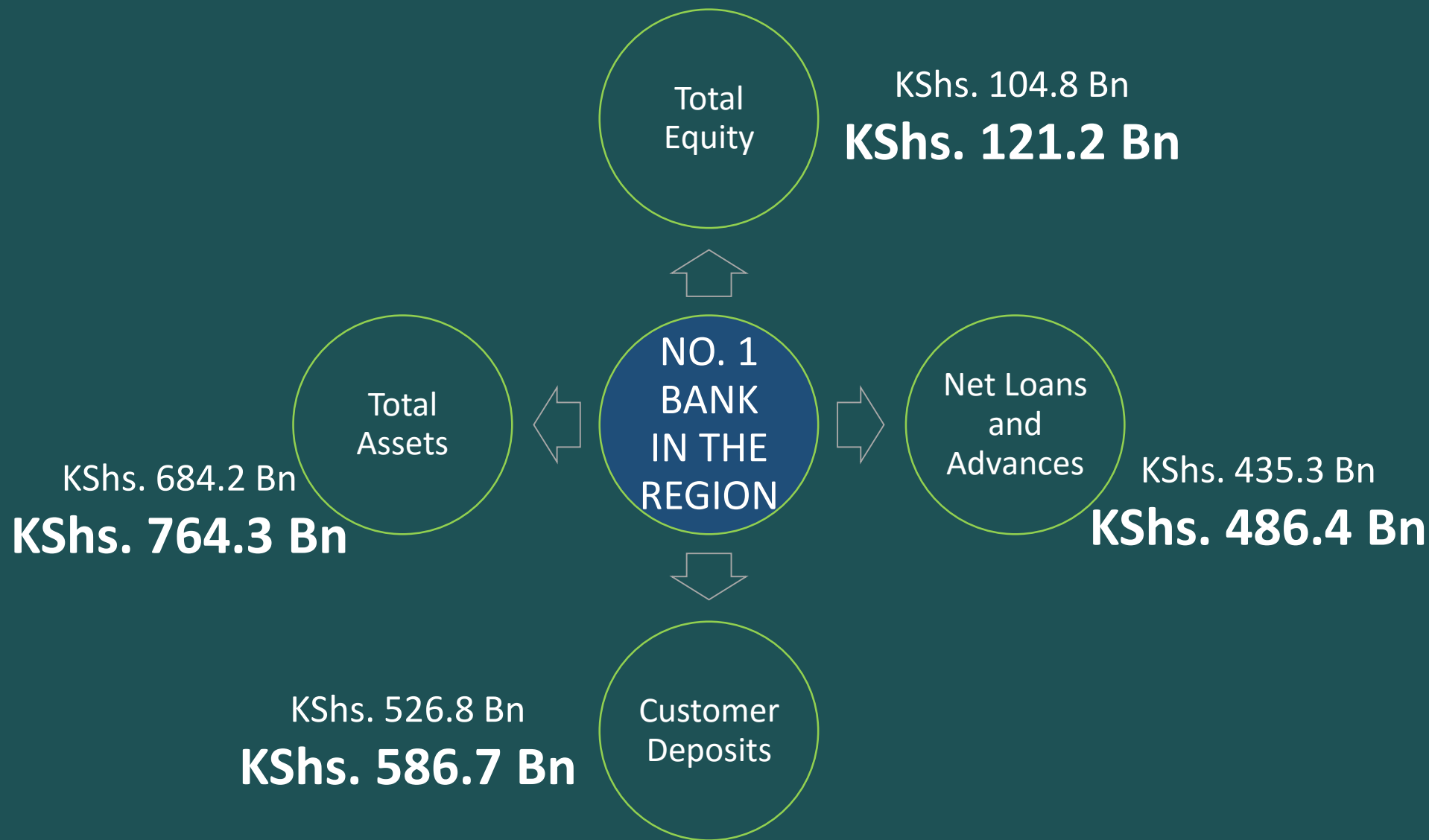
OUR FOOTPRINT

Touch Points:



REGIONAL MARKET LEADER

Q3 2018
Q3 2019



STABLE CREDIT RATINGS

Ratings confirmed in
August and September
2019

RATING AGENCY	SOVEREIGN	KCB BANK KENYA
	B2 (Stable)	B2 (Stable)
	B+/B	B+/B

No deviation in rating from 2018

MACRO ECONOMIC HIGHLIGHTS

MACRO ECONOMIC HIGHLIGHTS

Kenya

5.6%

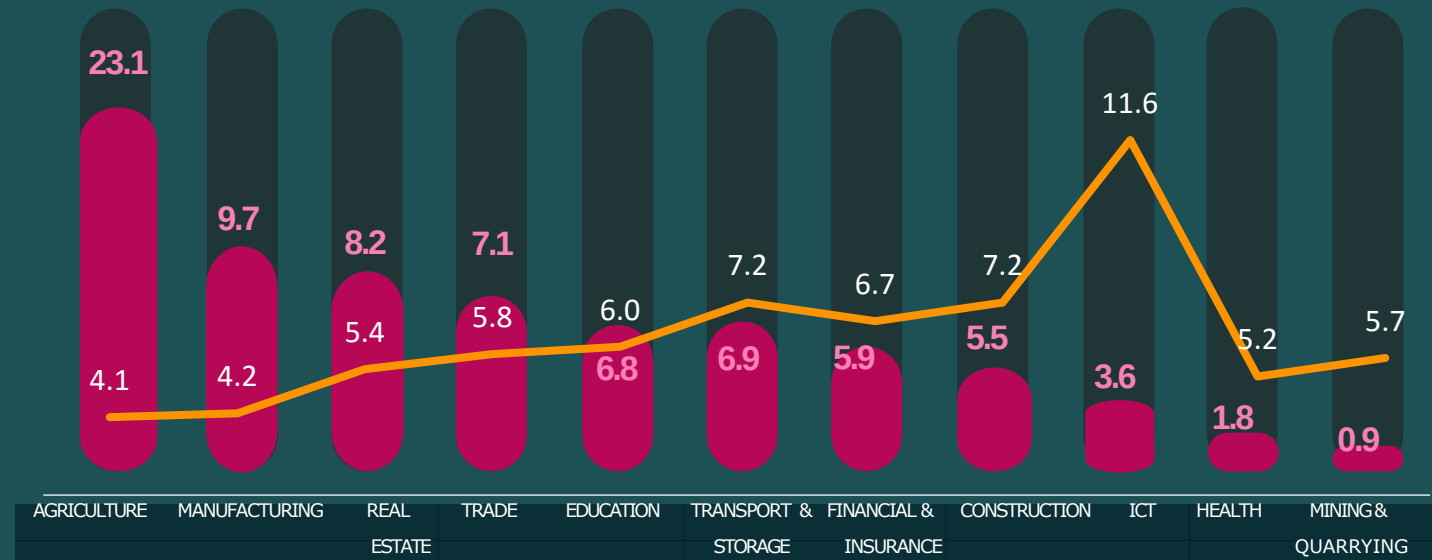


Q2 19

GDP Growth Rate (%)

Contribution to GDP Q219 (%)

Q219 Growth (%)



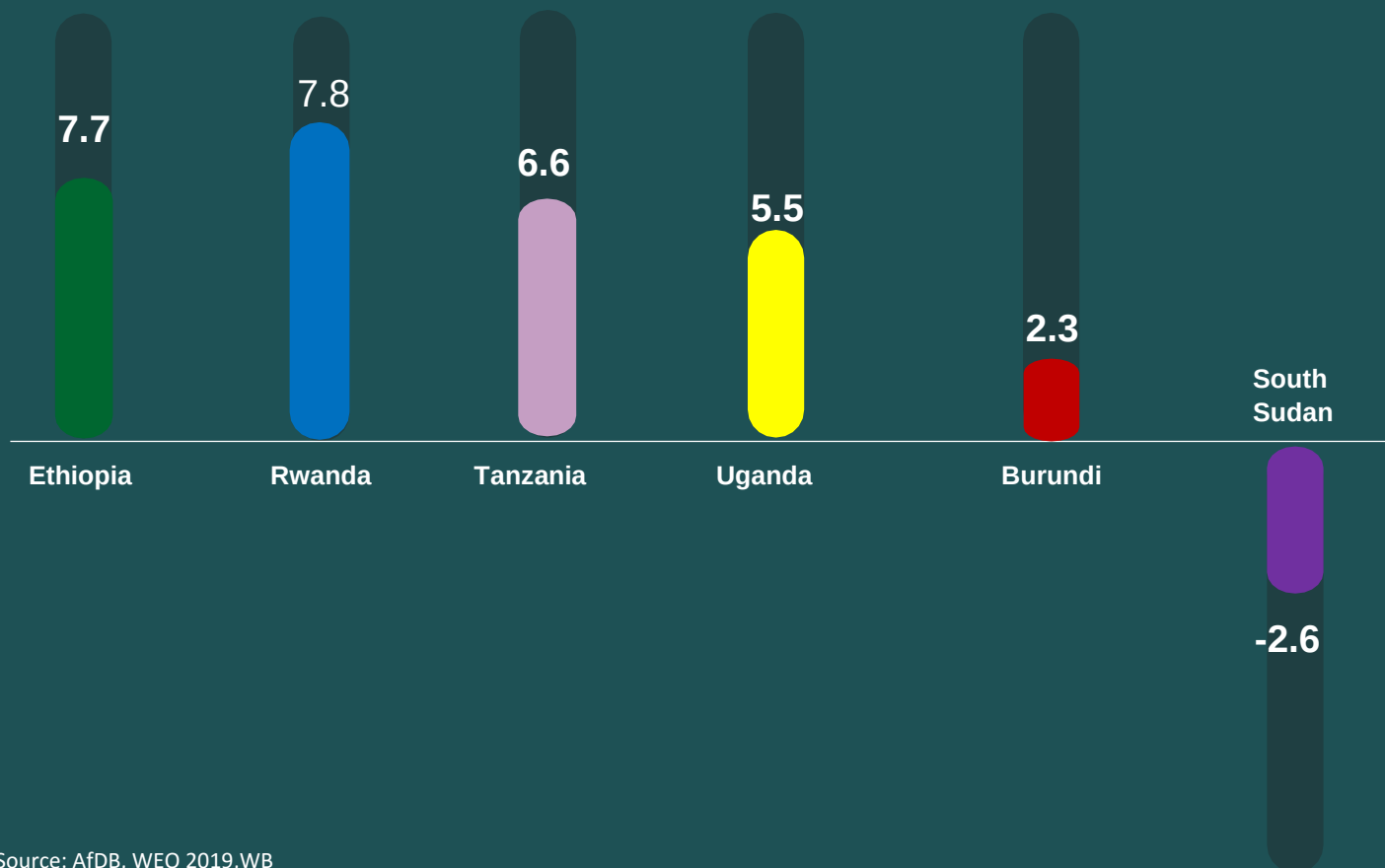
MACRO ECONOMIC HIGHLIGHTS

Regional GDP Growth



*Source: AfDB, Africa Economic Outlook
2019

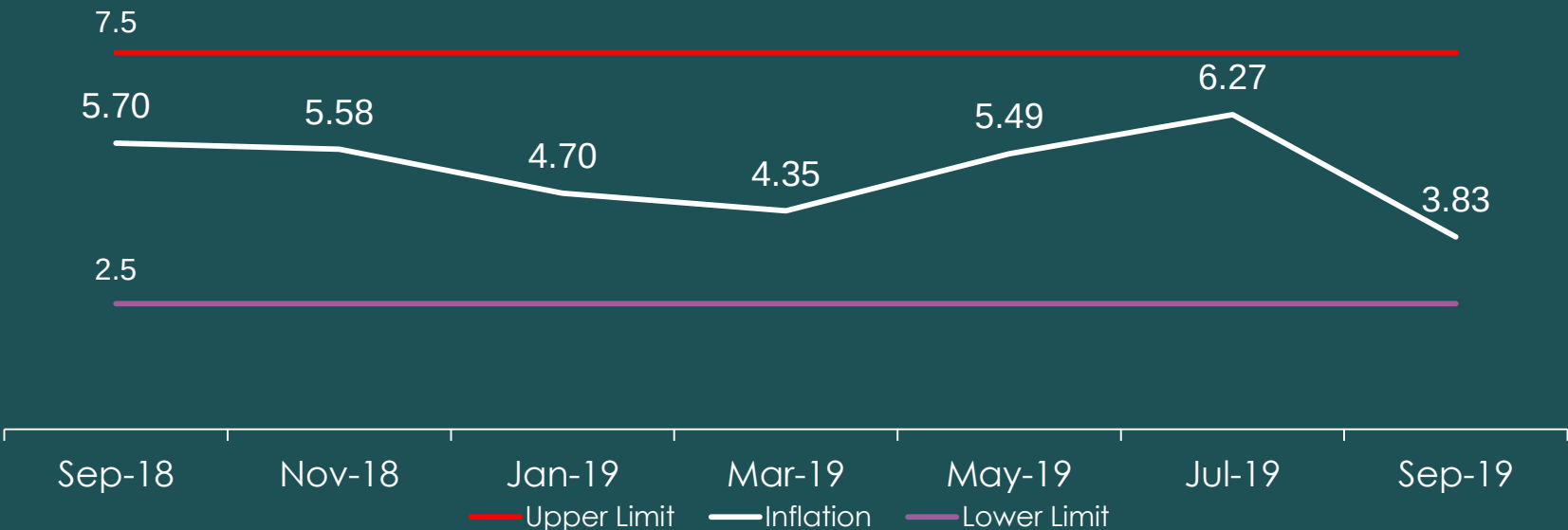
GDP Growth 2019 Projected (%)



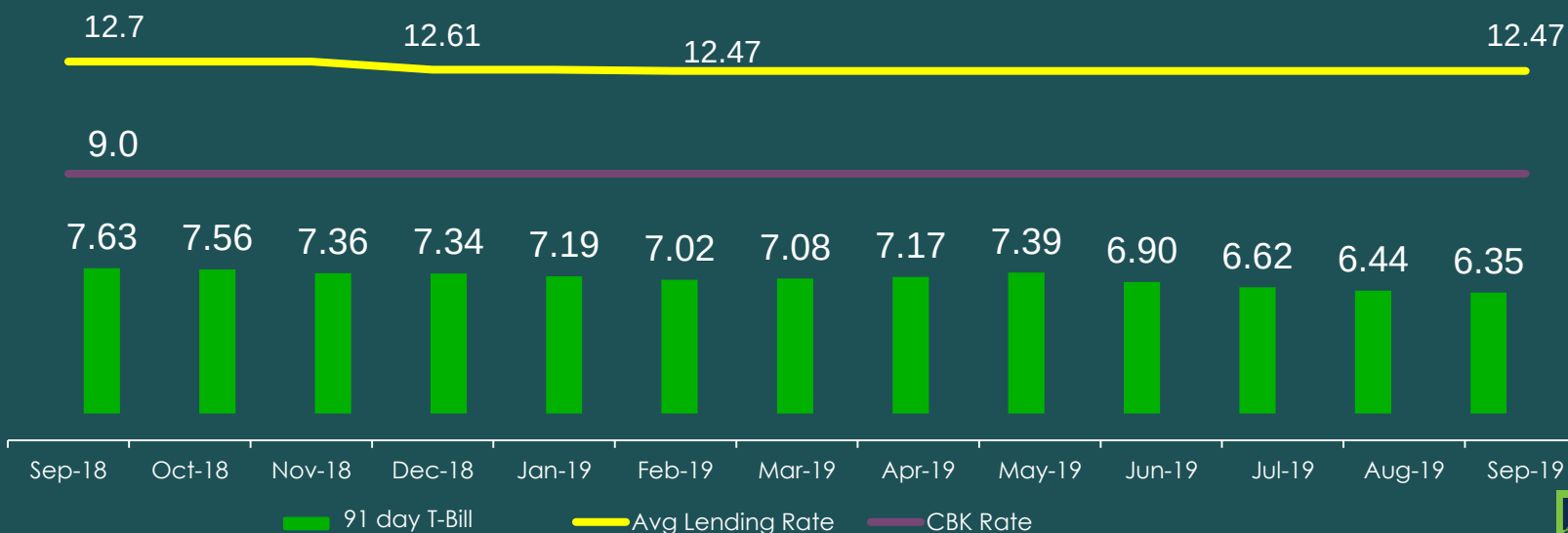
Source: AfDB, WEO 2019, WB

MACRO ECONOMIC HIGHLIGHTS

Inflation Evolution (%)



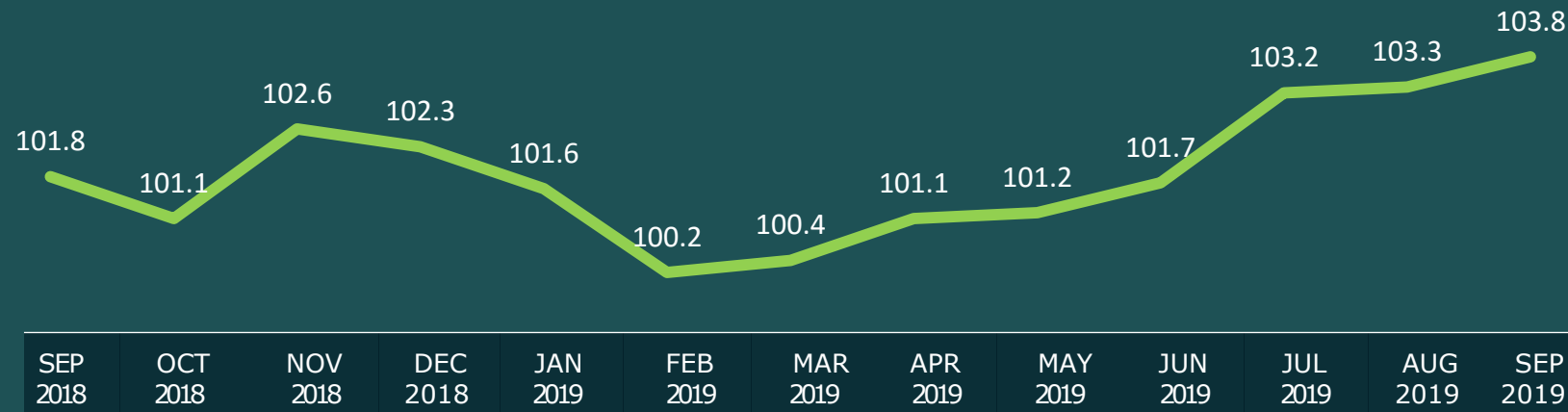
Interest Rate Evolution (%)



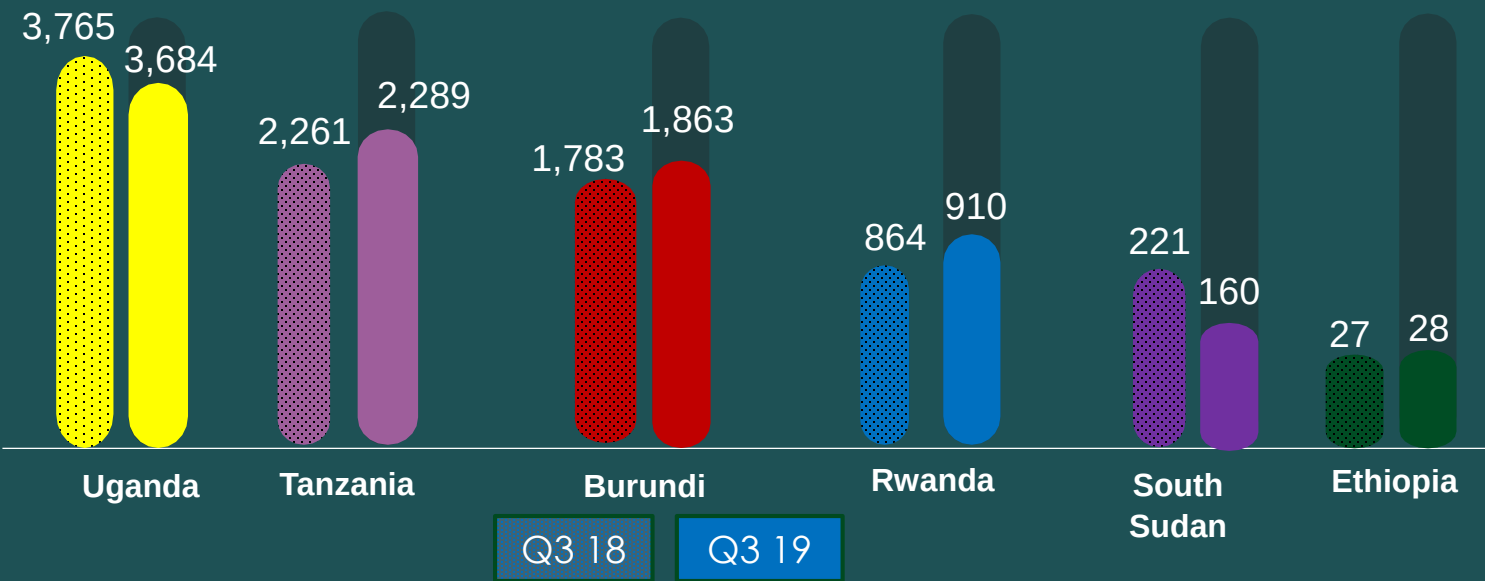
MACRO ECONOMIC HIGHLIGHTS

Stable Currencies across the region

USD/KES Exchange Rate



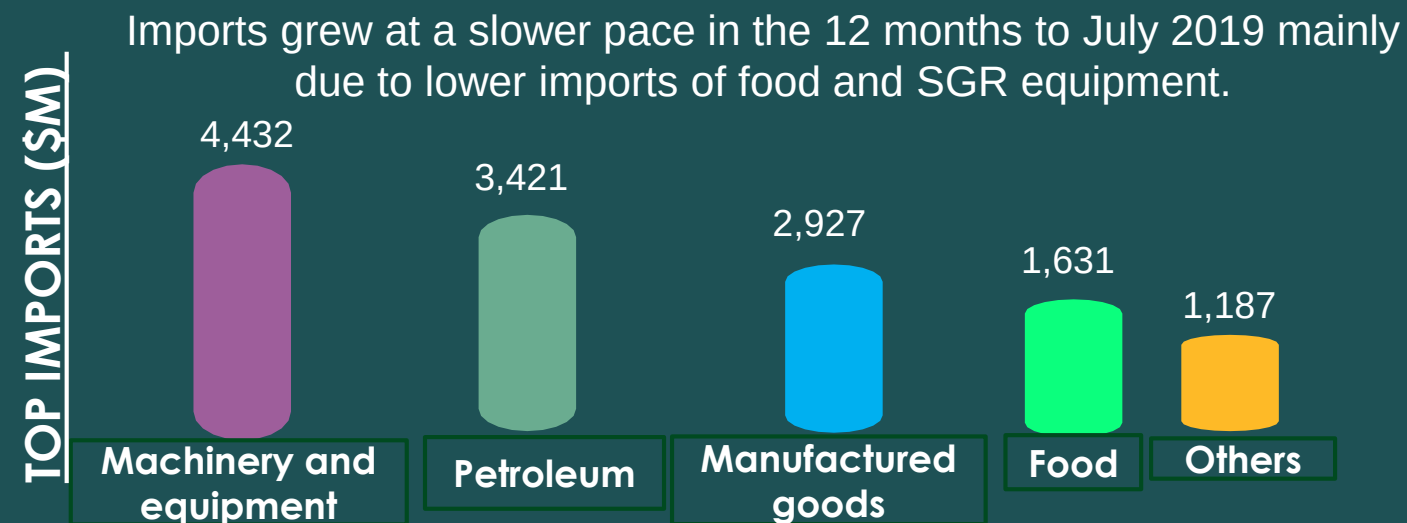
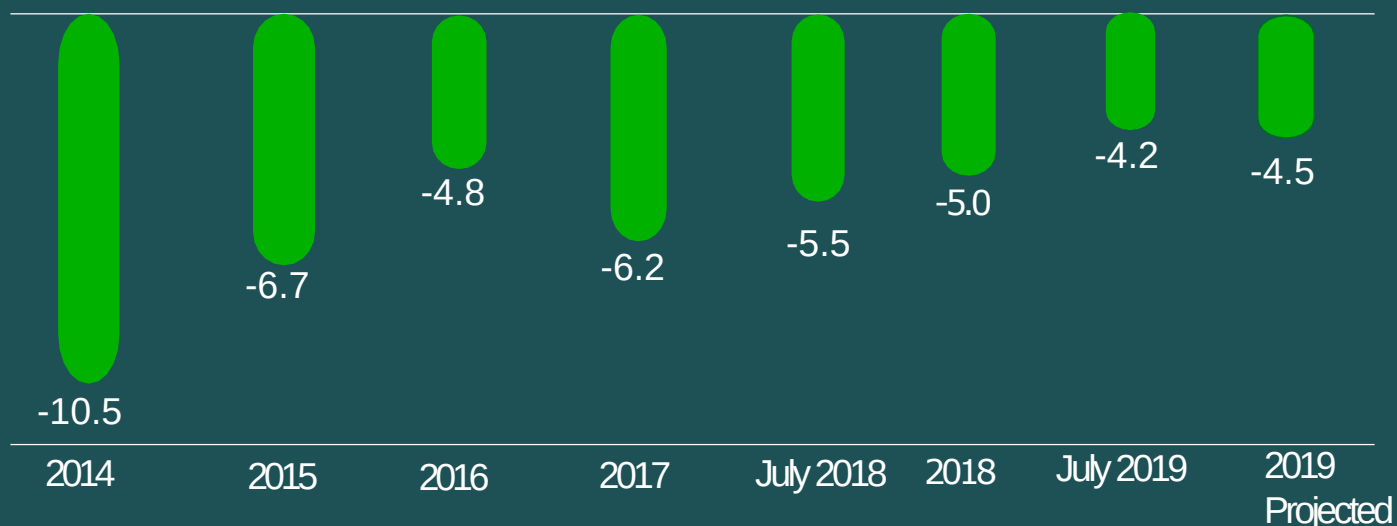
Exchange Rates to USD



MACRO ECONOMIC HIGHLIGHTS

- ❖ Tourist arrivals remained strong. Maintained peaks seen in 2018. Good for the hotel industry and Foreign exchange source.
- ❖ Average forward hotel bookings for September to December 2019 were higher relative to a similar period in 2018

CURRENT ACCOUNT BALANCE (% OF GDP)



MACRO ECONOMIC HIGHLIGHTS

Kenya

MPC Market Perception Survey conducted in September 2019 showed increased optimism on the economic growth prospects

Consumer durables leading by far the main drivers for credit growth

12 Month Private Sector Credit Growth



	Aug-18	Oct-18	Dec-18	Mar-19	Jun-19	Jul-19	Aug-19
Overall Private Sector Credit	4.3	4.4	2.4	4.3	5.2	6.1	6.3
Consumer durables	11.5	7.6	11.0	13.9	21.3	23.6	23.0
Private households	2.7	5.1	6.8	8.0	7.6	7.1	8.6
Trade	6.9	4.0	2.9	8.7	5.5	8.0	8.4
Manufacturing	13.2	14.8	6.5	7.2	11.4	10.3	7.5
Agriculture	-4.3	-5.6	-2.0	0.2	3.9	7.6	6.6
Finance and Insurance	3.5	9.1	17.5	10.2	4.7	5.3	6.3
Transport and Communication	-11.0	-7.7	-9.4	5.7	5.8	6.4	5.8
Real estate	0.9	1.2	-0.5	-0.1	1.0	0.5	2.4
Business services	6.5	12.1	8.0	-0.4	-3.2	1.6	1.0
Building and Construction	14.7	7.1	1.8	-7.0	-6.3	-5.4	-6.0
Mining and quarrying	-9.1	-11.6	-10.7	-11.4	-4.3	-13.5	-10.8
Other activities	-4.6	-12.4	-34.8	-31.7	-22.6	-17.2	-14.4

MACRO ECONOMIC HIGHLIGHTS

 8%

Cumulative inflows
in the 12-months to
September

2019: \$ 2,786M

2018: \$ 2,579M

Diaspora Remittances (USD Millions)





YEAR TO DATE OVERVIEW

2019 KENYA HIGHLIGHTS

The Banking Sector

- Renewed focus on the sector following the repeal of the interest rate cap. The target is to only marginally increase lending rates by not more than 300bps thus including customers previously cut from the lending universe.
- The Central bank concluded the withdrawal of the older 1,000 shillings banknotes and introduced new notes. After the demonetization exercise, which had little impact on inflation or the exchange rate, KShs. 7.4 billion, or 3% of the total value in circulation of 1,000 notes, was rendered worthless.



2019 KENYA HIGHLIGHTS

The Banking Sector

- KCB completed the take-over of National Bank of Kenya Limited
(details on slide 41)
- The merger of CBA Limited and NIC Group PLC to form NCBA, was effective as of 30th September 2019, following attainment of all regulatory approvals.

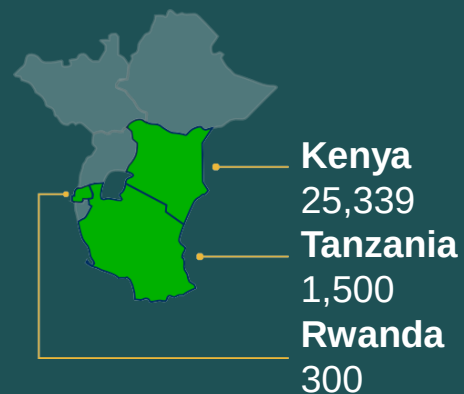
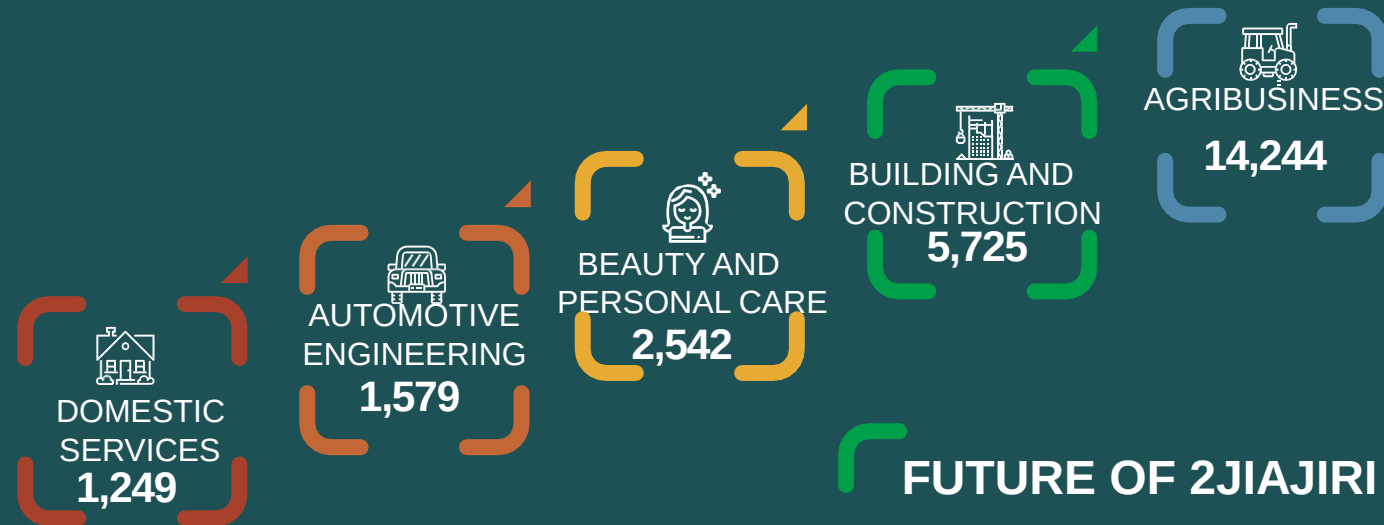
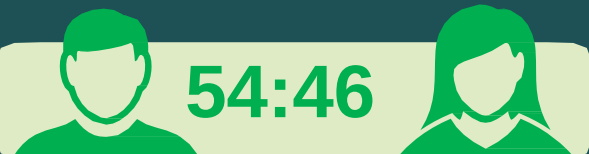


KCB 2JIAJIRI PROGRAMME HIGHLIGHTS



27,139
BENEFICIARIES TO
DATE

Male : Female Ratio



FUTURE OF 2JIAJIRI

Catalyze job and wealth
creation for at least

2,000,000

youth engaged in the informal
sector within Eastern Africa

5-year investment of over

KShs 50 billion

to nurture and grow youthful and SME
entrepreneurs

‘Young Africa Works’

KShs 10 billion funding

from the MasterCard Foundation to
scale up the bank’s 2jiajiri job creation
programme

KCB FOUNDATION CASE STUDIES

Innovative Agri Entrepreneurs: Greenlife Veggies – Simon Muriithi and friends



- Armed with skills from 2jiajiri agribusiness training, they established a lettuce growing business that inculcated the hydroponics farming technology.
- Signed a five-year sub-award contract with an aggregator and off-taker.

From dilapidated structure to modern salon – Irene Wangari



- Irene trained in hairdressing and beauty at Nyeri National Polytechnic under 2jiajiri.
- Funding from KCB Foundation moved her from deplorable premises with obsolete equipment and revamped her business at Skuta area in Nyeri that currently earns her over KShs 40,000 monthly profit.

SUSTAINABILITY UPDATE



PRINCIPLES FOR
**RESPONSIBLE
BANKING**

Mainstreaming our 8 Adopted SDG's



- 182** Business Bankers, Relationship Managers and Credit Analysts trained on Environmental, Social Risk screening and Assessment.

- 90.5%** of business units have identified key performance indicators for tracking and monitoring of the 8 SDG's.

UNEP FI – 6 Principles for RESPONSIBLE BANKING: Launched on 23 Sept. 2019 in New York

Alignment

Impact &
Target Setting

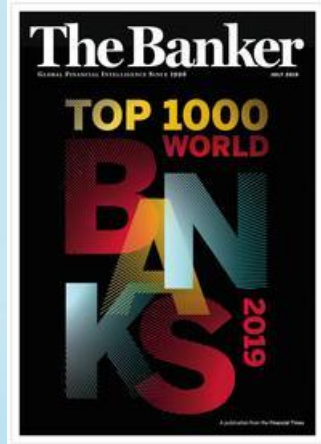
Clients &
Customers

Stakeholders

Governance
& Culture

Transparency
&
Accountability

Q3 2019 GROUP AWARDS



EUROMONEY AWARDS FOR EXCELLENCE 2019

- East Africa's Best Bank for SMEs
- Kenya's Best Bank

GLOBAL FINANCE AWARDS 2019

- Best Bank in Kenya

BRAND AFRICA AWARDS 2019

- Most Admired Financial Services Brand

AFRICAN BANKER AWARDS 2019

- Best Regional Bank in East Africa
- Innovation in Banking

GLOBAL BUSINESS OUTLOOK 2019

- Best Digital Transformation in Online Banking
- Best CSR Initiative – 2jiajiri

GLOBAL BANKING AND FINANCE AWARDS 2019

- Best Corporate Governance Bank in Kenya
- Best Customer Service Bank in Kenya

THE BANKER MAGAZINE – TOP 1000 BANK RANKINGS

- 717th Globally
- 21st Africa (Highest mover Africa)



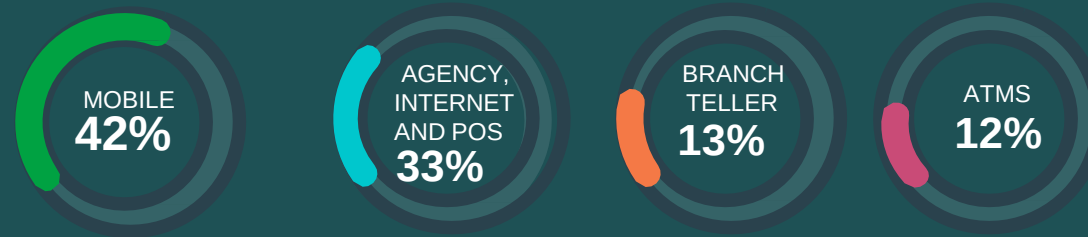
CHANNELS PERFORMANCE

OUR CHANNEL CONTRIBUTION

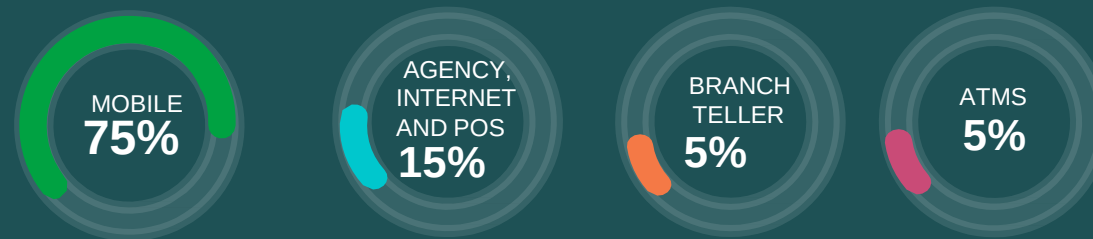
 **95%** of transactions performed outside the branch

 **141%** growth in non-branch revenue to over **8.6B**

September 2018



September 2019



18% decrease in average transactions / teller per day



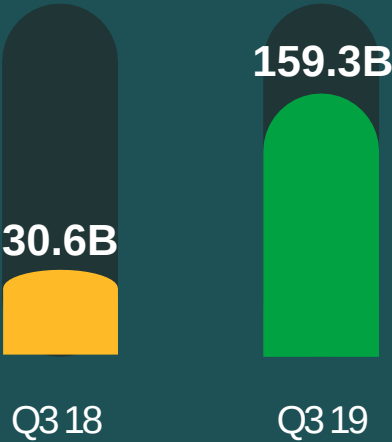
18% decrease in Number of branch teller transactions (M)



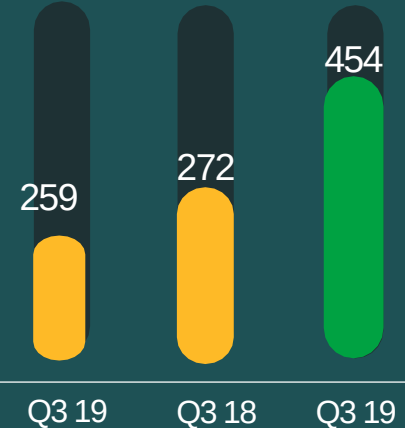
OUR CHANNEL CONTRIBUTION



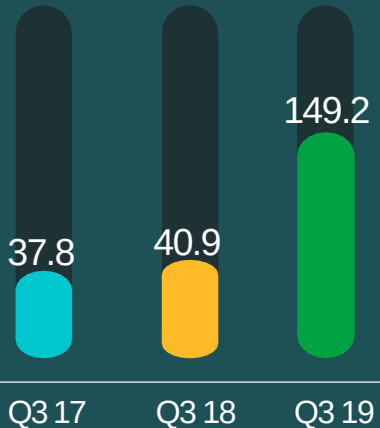
420%
Growth in
total **Mobile
Loans
Advanced**



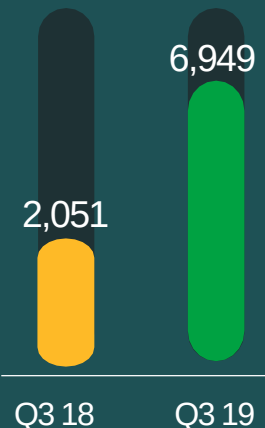
Value of Mobile Transactions
(KShs.B)



No. of Mobile transactions
(M)

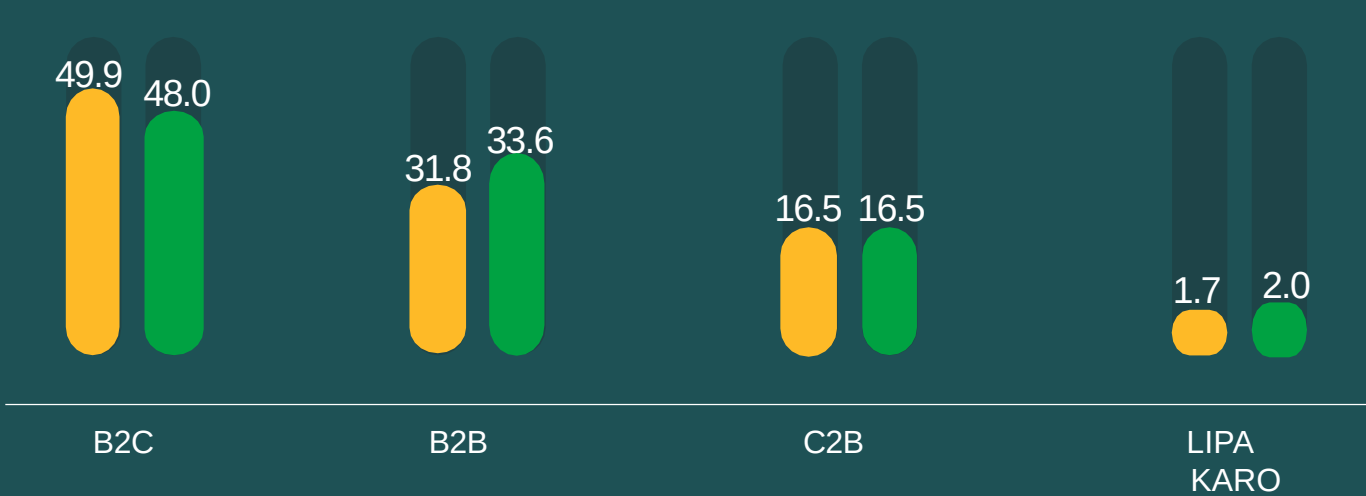


Mobile Revenue
(KShs.M)



Mobile Transaction type (%)

Q3 2018 ■ Q3 2019 ■



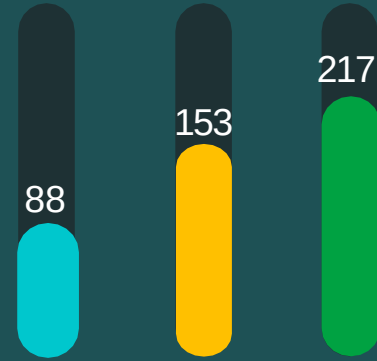
OUR CHANNEL CONTRIBUTION

AGENCY



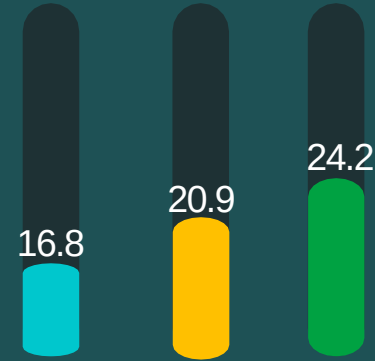
42%
Growth in
Agency
Banking
Volumes

Value of Transactions
(KShs. B)



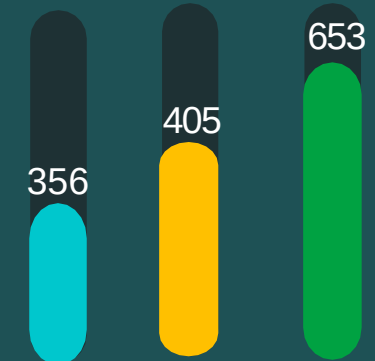
Q3 17 Q3 18 Q3 19

No. of transactions
(M)



Q3 17 Q3 18 Q3 19

Agent revenue
(KShs M)

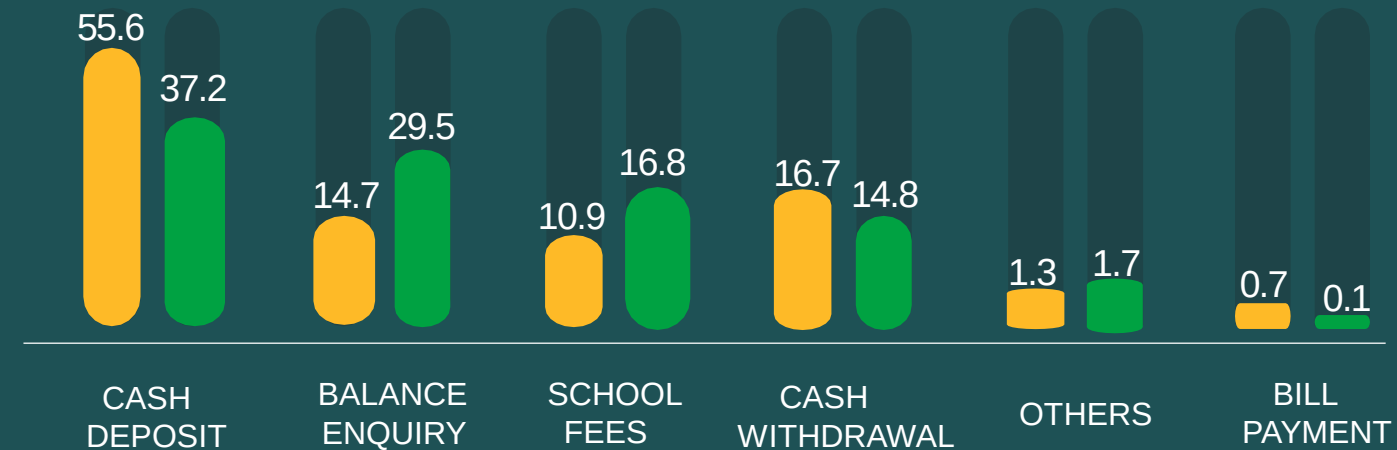


Q3 17 Q3 18 Q3 19

Agency Transaction type (%)

Q3 2018

Q3 2019



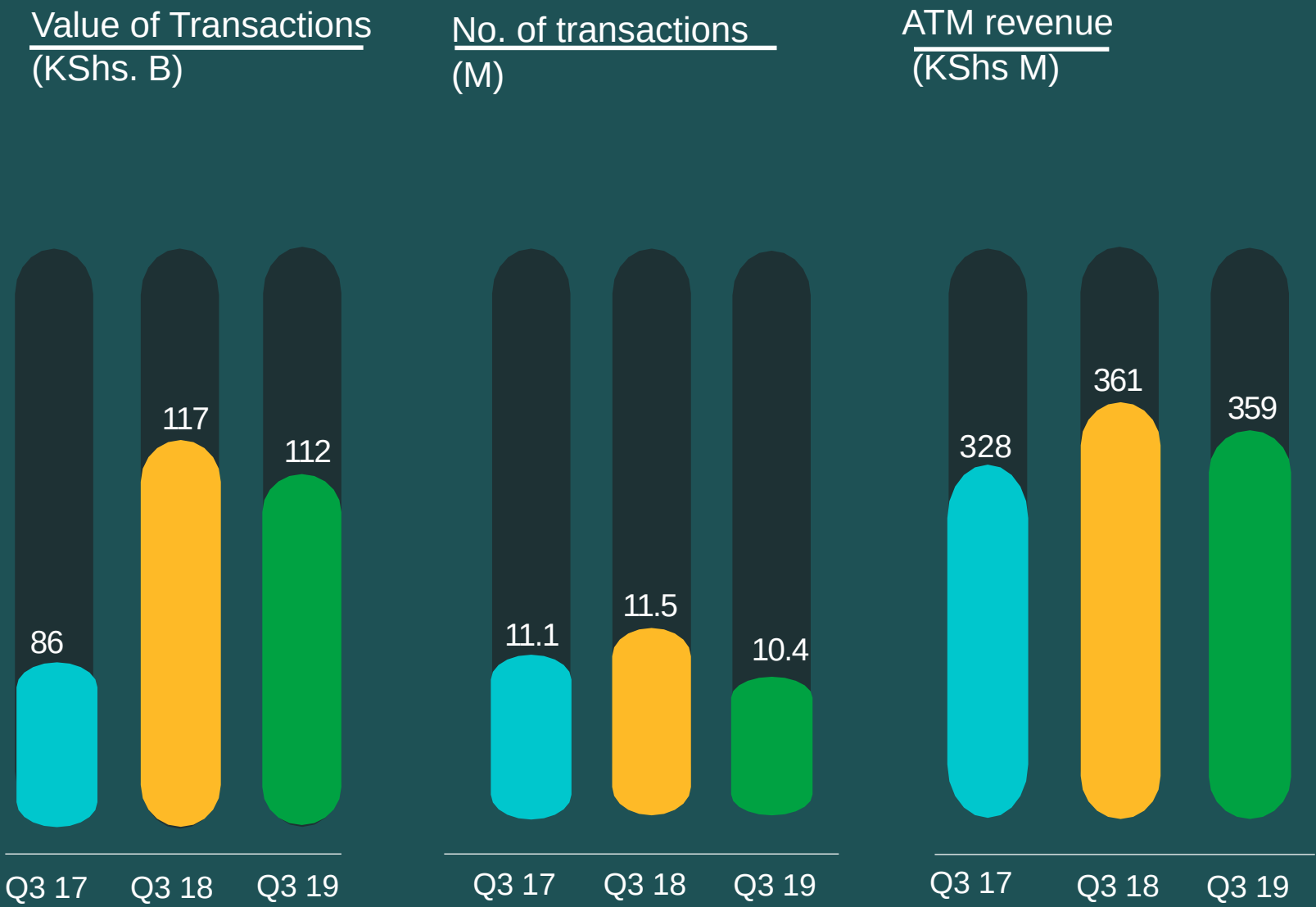
*Others: Account opening, mini statement, load cards and Funds transfer

OUR CHANNEL CONTRIBUTION

ATM



4%
Decrease
in ATM
Volumes



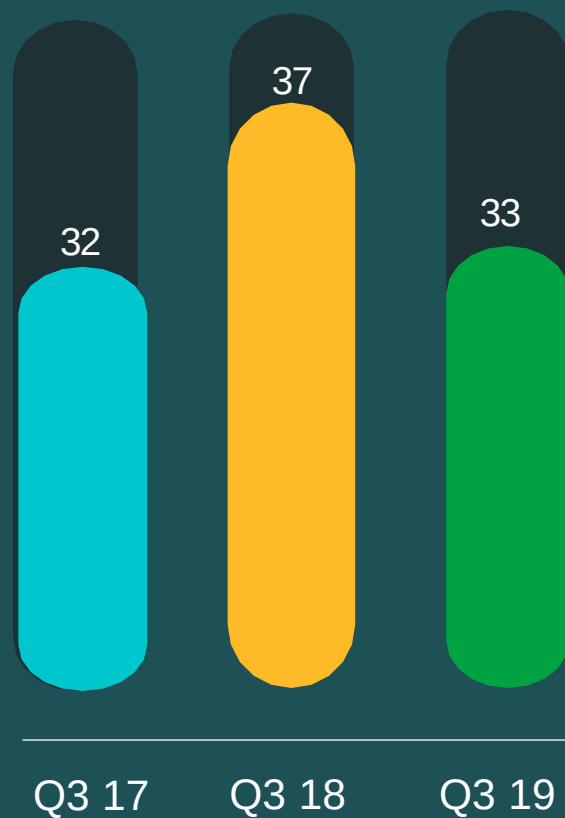
OUR CHANNEL CONTRIBUTION

MERCHANT/POS

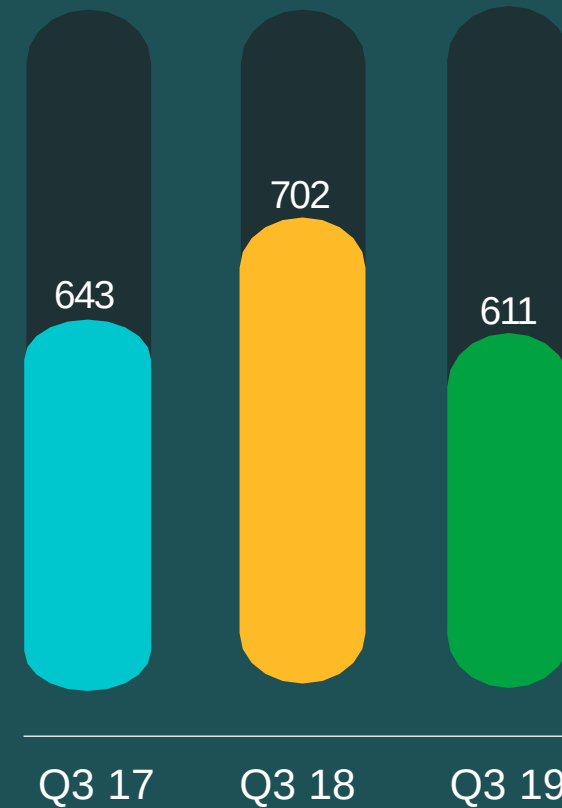
11%

reduction in the average value of **Merchant/POS** transactions

Value of Transactions (KShs. B)



POS Revenue (KShs. M)





PERFORMANCE TO DATE

BALANCE SHEET HIGHLIGHTS



12% growth
in **Total
Assets**

Govt. Securities

KShs 119.5B

KShs 128.5B

Net Loans & Advances

KShs 435.3B

KShs 486.4B

Customer Deposits

KShs 526.8B

KShs 586.7B

Total Assets

KShs 684.2B

KShs 764.3B

Q318

Q319

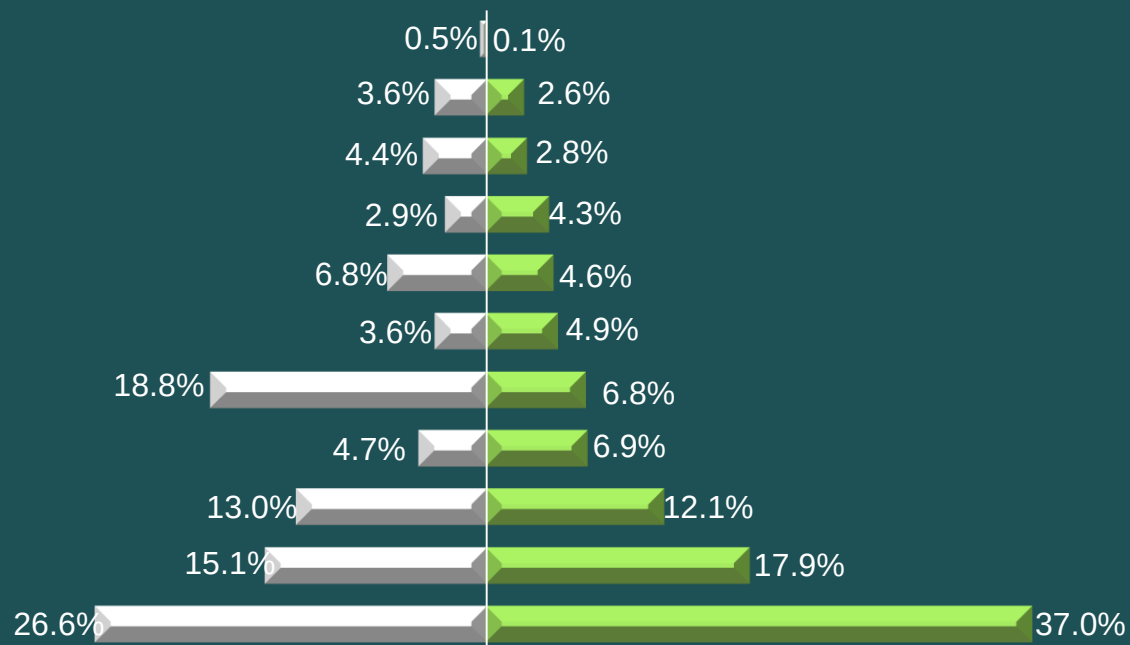
LOAN BOOK PERFORMANCE



**11% growth
in Gross
Loans &
Advances**

Sectoral Loans Comparison

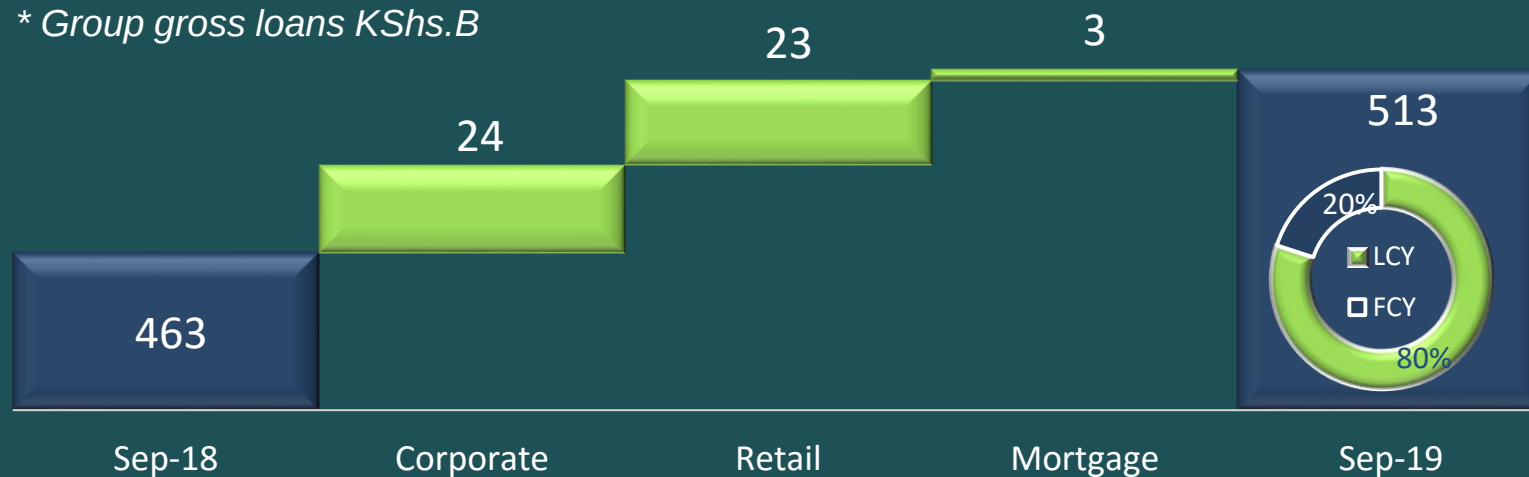
■ Industry* ■ KCB Sep 19



Mining and Quarrying
Agriculture
Energy and water
Tourism, restaurants and hotels
Transport and communication
Financial services
Trade
Building and construction
Manufacturing
Real estate
Personal/Household

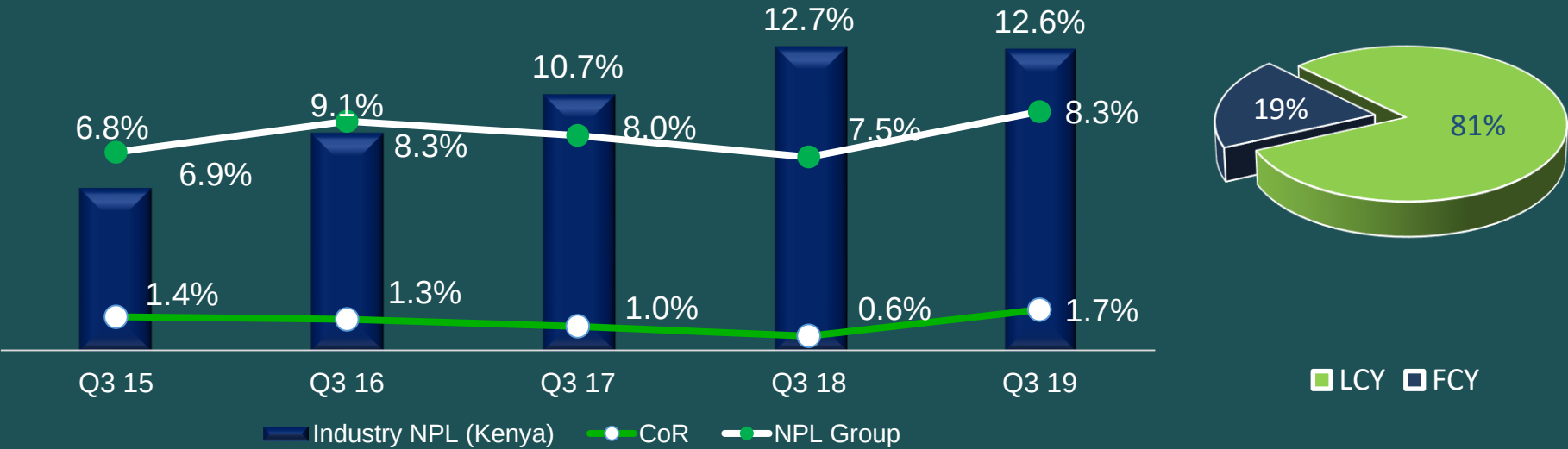
*CBK Data as at Dec 2018

* Group gross loans KShs.B

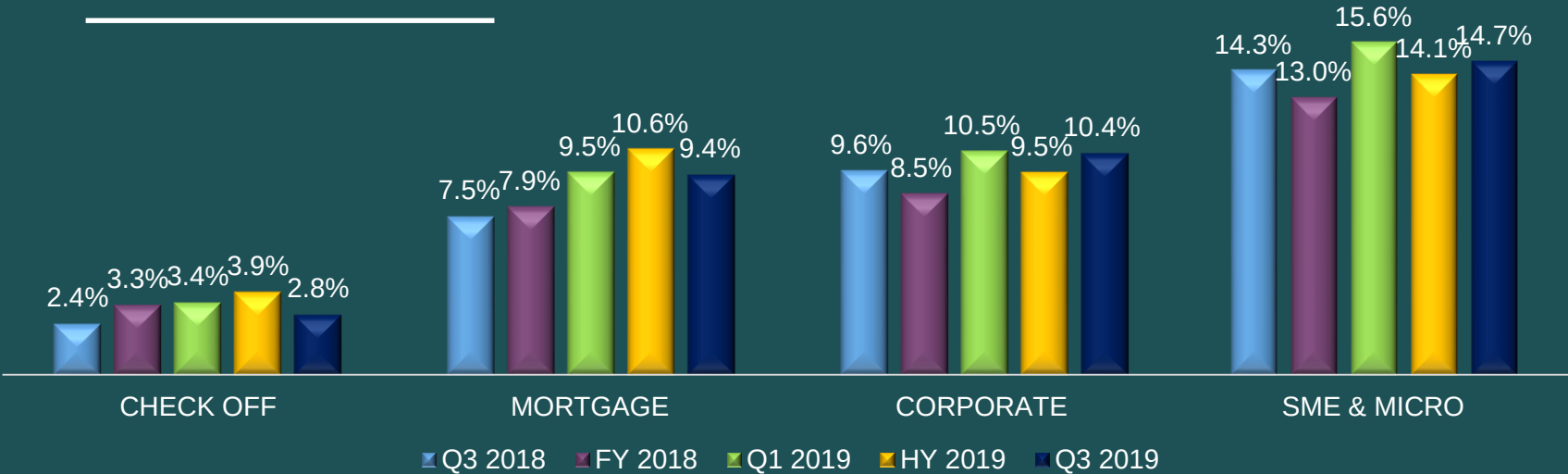


LOAN BOOK PERFORMANCE

Asset Quality Review

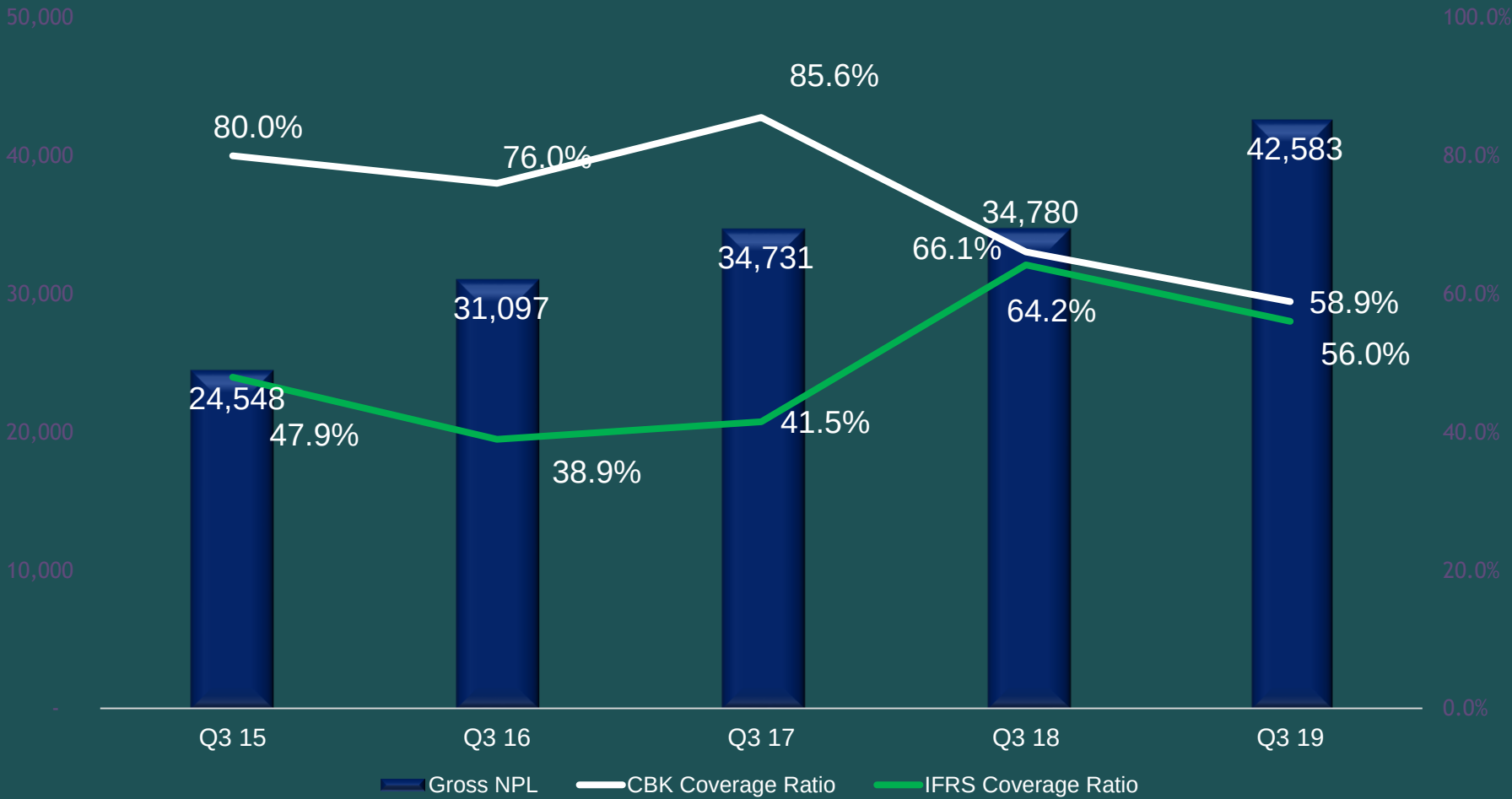


NPL Breakdown

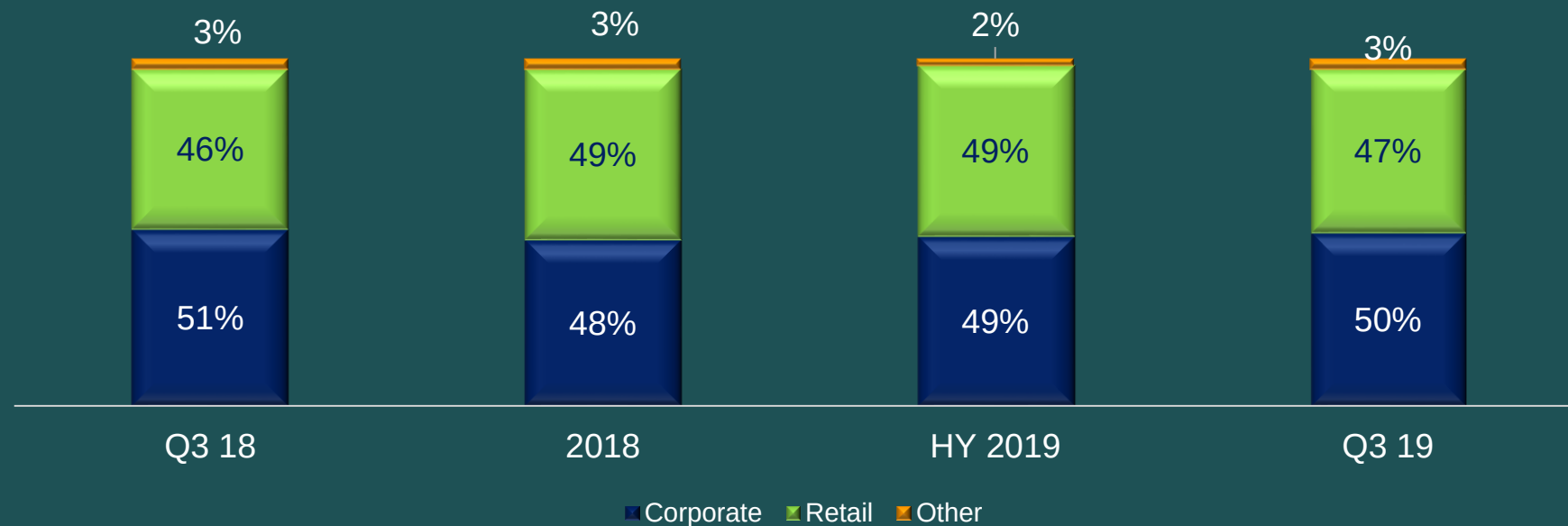


LOAN BOOK PERFORMANCE

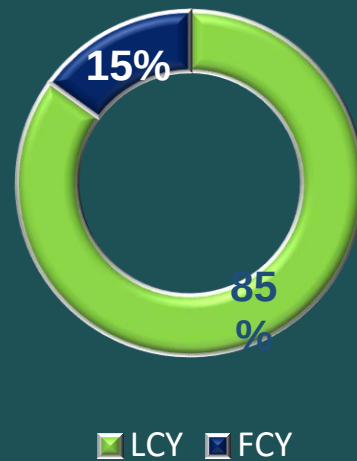
Group Coverage Ratio



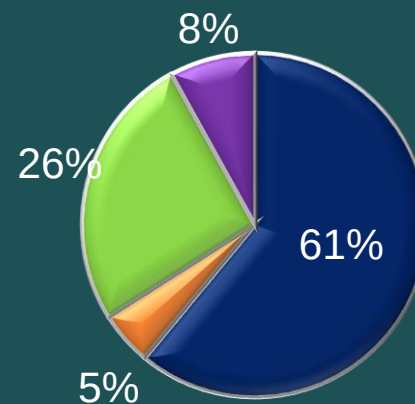
BALANCED DEPOSIT MIX



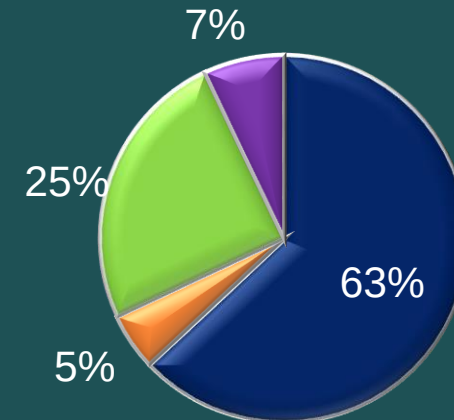
Currency Mix



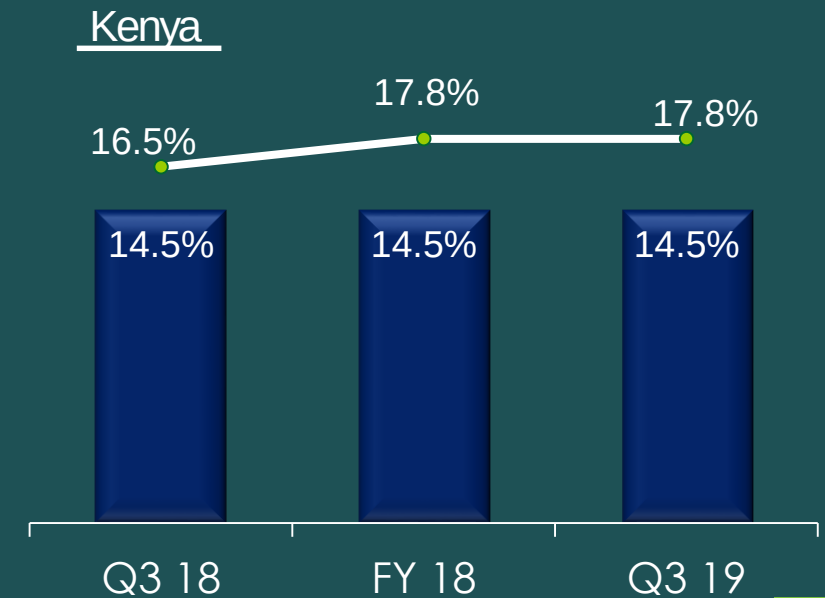
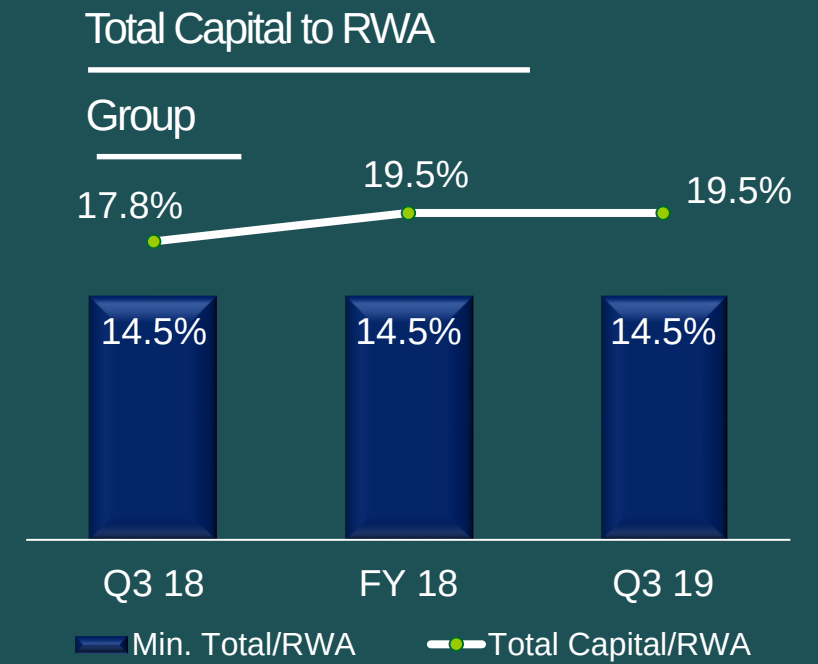
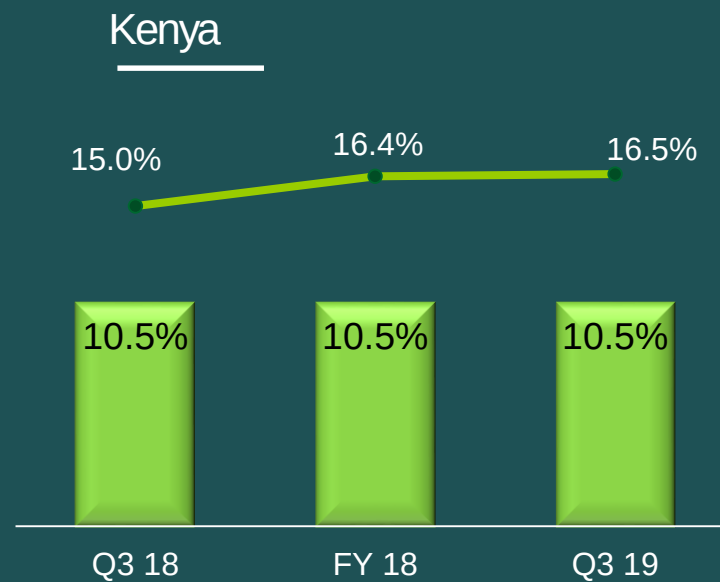
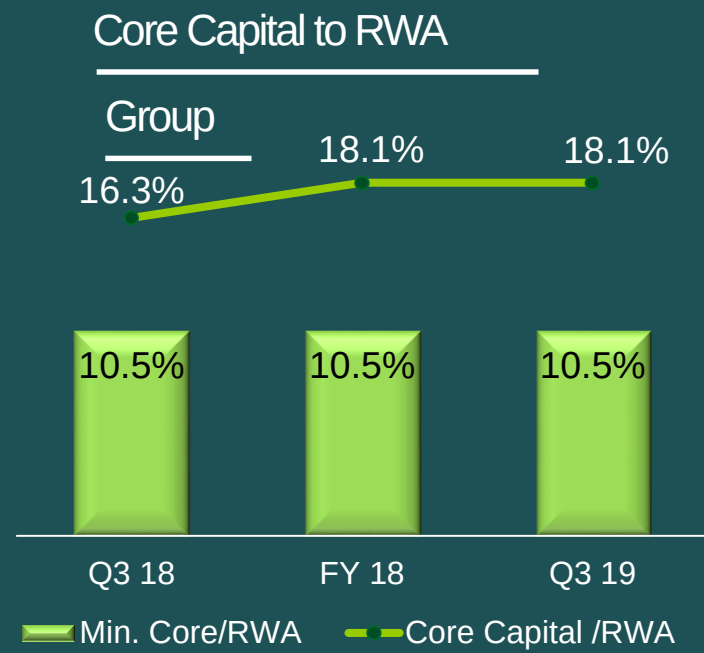
Deposits by type Q318



Deposits by type Q319



STRONG CAPITAL BUFFERS



P&L HIGHLIGHTS



Profit
before tax
Up 6.1%



6.2% Net
earnings
growth to
KShs
19.2B

Net interest income

KShs 36.3B

KShs 38.7B

Total non Interest Income

KShs 17.9B

KShs 20.9B

Operating Expenses

KShs (26.8B)

KShs (26.6B)

Profit before tax

KShs 25.6B

KShs 27.2B

Q318

Q319

Q3 2019 PERFORMANCE SUMMARY

Investment in Government Securities (KShs. Million)	Q3 19 
	128,459
Q3 18	119,529

Net Loans and Advances (KShs. Million)	Q3 19 
	486,423
Q3 18	435,281

Customer Deposits (KShs. Million)	Q3 19 
	586,715
Q3 18	526,844

Total Assets (KShs. Million)	Q3 19 
	764,335
Q3 18	684,165

Staff costs (KShs. Million)	Q3 19 
	13,575
Q3 18	12,783

Profit Before Tax (KShs. Million)	Q3 19 
	27,339
Q3 18	25,608

Non-Performing Loans (KShs. Million)	Q3 19 
	42,583
Q3 18	34,780

Return on Assets	Q3 19 
	3.5%
Q3 18	3.6%

Market Capitalization (KShs. Million)	Q3 19 
	128,772
Q3 18	124,173

STRONG BALANCE SHEET GROWTH

Driven by KShs
51.1B growth in
net loans and
advances

KShs Billion	KCB Group			KCB Bank Kenya		
	Actual Q3 18	Actual Q3 19	Y-O-Y Change	Actual Q3 18	Actual Q3 19	Y-O-Y Change
Cash and balances with central bank	39.7	54.3	37%	36.8	49.6	35%
Balances with other institutions	39.5	42.5	8%	13.5	19.8	46%
Investments in Government & Other securities	119.7	128.5	7%	102.3	114.6	12%
Net loans and advances	435.3	486.4	12%	398.4	442.0	11%
Fixed assets	10.6	17.0	61%	7.6	12.2	61%
Other assets	39.4	35.5	(10%)	35.4	29.5	(17%)
Total Assets	684.2	764.3	12%	594.0	667.7	12%
Customer deposits	526.8	586.7	11%	472.0	522.1	11%
Balances due to other banks	12.6	13.5	7%	3.2	5.1	58%
Other liabilities	18.5	20.8	12%	15.1	17.7	17%
Long-term debt	20.7	22.1	7%	17.1	18.9	11%
Total Liabilities	578.7	643.1	11%	507.5	563.9	11%
Shareholders' equity	105.5	121.2	15%	86.5	103.8	20%
Total liabilities and equity	684.2	764.3	12%	594.0	667.7	12%

6% GROWTH IN EARNINGS

KShs Billion	KCB Group			KCB Bank Kenya		
	Actual Q3 18	Actual Q3 19	Y-O-Y Change	Actual Q3 18	Actual Q3 19	Y-O-Y Change
Interest income	49.2	51.4	5%	44.1	45.8	4%
Interest expense	(12.9)	(12.8)	(1%)	(11.1)	(10.8)	(3%)
Net interest income	36.3	38.7	7%	32.9	34.9	6%
Foreign exchange income	3.7	3.5	(6%)	2.1	2.2	8%
Net fees and commissions	11.0	14.1	28%	8.5	12.3	45%
Other income	3.3	3.4	3%	3.0	2.9	(5%)
Total other operating income	17.9	21.0	17%	13.6	17.4	28%
Total other operating expenses	(26.8)	(26.6)	1%	(21.0)	(21.9)	-4%
Provisions for bad debts	(1.8)	(5.8)	225%	(1.7)	(5.4)	218%
Profit before tax	25.6	27.2	6%	23.9	25.1	5%
Tax	(7.6)	(8.0)	6%	(6.9)	(7.1)	3%
Profit after tax	18.0	19.2	6%	16.9	17.9	6%

OVERVIEW OF KEY FINANCIAL RATIOS

Q3 18	FY 18	HY19		KENYA	GROUP
22.8%	21.9%	23.5%	Return on Average Equity	23.8%	21.8%
49.7%	48.3%	45.7%	Cost to Income	41.8%	44.7%
7.5%	6.9%	7.8%	Gross NPL to Gross Loans	8.3%	8.3%
80.8%	72.4%	60.8%	NPL Coverage	73.3%	56.0%
19.7%	19.7%	19.1%	Debt to Equity	18.9%	18.3%
33.3%	32.0%	34.1%	Non funded income to total income	33.3%	35.2%
3.2%	3.2%	2.8%	Cost of funds	2.8%	2.8%
8.1%	8.1%	8.3%	Net Interest Margin	7.8%	7.9%
0.5%	0.7%	1.3%	Cost of risk	1.6%	1.7%
88.0%	84.8%	89.2%	Loan to Deposit Ratio	91.1%	87.0%
3.8%	8.0%	14.0%	Growth of Net Loans and Advances	10.9%	11.7%
6.2%	8.0%	7.0%	Growth of Customer Deposits	10.6%	11.4%

INTERNATIONAL BUSINESS HIGHLIGHTS



21% growth in banking subsidiaries loans and advances



- 14% earnings growth in banking subsidiaries

KShs. M

Net Loans & Advances

PBT

KCB Bank
South
Sudan

198

1,034

109

404

271%

KCB Bank
Burundi

2,567

3,320

163

243

49%

KCB Bank
Uganda

5,879

6,642

375

(90)

(124%)

KCB Bank
Rwanda

1...

1...

473

679

44%

KCB Bank
Tanzania

15,6...

17,7...

586

713

22%

Q3 18

Q3 19

HIGHLIGHTS ON NBK



87.7% acceptance:

- 297.1M of 338.7M shares



142.6M additional shares

- New shares listed and available for trading at the Nairobi Securities Exchange



Increase the shareholding to 97.17%

- Upon completion of the conversion of the non-cumulative preference shares by the end of November 2019



Squeeze out

- Process of compulsory acquisition of the remaining 41.6M shares is ongoing

- Reorganization of the board: Complete
- Reorganization of the management team: Ongoing
- Assessment on the value of capital allocation required: Ongoing
- Integration work streams: Ongoing



HIGHLIGHTS ON NBK

Gov. Securities (KShs. Million)	Q3 19	✓
	37,014	
	Q3 18	
	41,012	

Loan Provisions (KShs. Million)	Q3 19	✓
	30.8	
	Q3 18	
	232.7	

Funded accounts	Q3 19
	690,838

Net Loans and Advances (KShs. Million)	Q319	—
	47,853	
	Q3 18	
	48,002	

Staff cost (KShs. Million)	Q3 19	✓
	3,026	
	Q3 18	
	2,917	

Staff numbers	Q3 19
	1,454

Customer Deposits (KShs. Million)	Q3 19	✓
	82,513	
	Q3 18	
	92,814	

Profit Before Tax (KShs. Million)	Q3 19	^
	675.5	
	Q3 18	
	464.6	

Branches	Q3 19
	79

Total Assets (KShs. Million)	Q3 19	✓
	107,164	
	Q3 18	
	112,450	

Non Performing Loans (KShs. Million)	Q3 19	^
	32,956	
	Q3 18	
	30,884	

ATMs	Q3 19
	97

KCB Group

(incl NBK)

FY 2019 OUTLOOK

Non funded income growth	27.4%
NFI Ratio	34.3%
Cost/ Income ratio	44.9%
Operating expenses	10.9%
Cost of funds	2.7%
Cost of Risk	1.7%
NPL Ratio	10.0%
NIM	7.9%
Asset yield	10.6%
Loan growth	*15.1%
Deposit growth	*26.6%
ROA	3.4%
ROE	22.3%

**Including the one-off from the investment in NBK*



THANK YOU

Investor Relations
Email: investorrelations@kcbgroup.com
www.kcbgroup.com

